



SUPPLEMENTARY SHEET 5 TRADING ROUND 1

**WORLD TRADE
ORGANIZATION**



ROUND 1

You are responsible for ensuring that trade between countries is running smoothly. There are two rules that every country should follow:

1. Countries are not allowed to give preferential treatment to one country over another (e.g. Preferring Country 2's red beads over country 3's).
2. Countries are not allowed to discriminate against one country's goods on the basis of environmental or social grounds (e.g. if a product is produced under poor labour standards).

While countries are trading beads, you are responsible for ensuring that trade is occurring without these discriminatory practices.

You have received an anonymous report from a country that states that G1 and LDC 1 and 2 are breaking these rules. Find out what rule they broke by observing the trading. When the countries have returned to their desks, you will approach them and fine them each \$5 Million.

WORLD BANK



IMF



ROUND 1

Your job begins after Round 1 of trading.

While the LDC Countries are filling out their budget forms for round 1, visit them and offer loans to each of the country's representatives.

They may borrow either \$25 Million or \$50 Million each round.

The rate of interest for loans is 6% at the moment (you should explain that interest rates may vary)

A condition of the loan is that not more than half of the sum borrowed may be used for the education and health budgets. The other half is to be invested in producing more of the country's main commodity that can be traded (represented by the red and green beads)

Keep a record of the loans you make, the interest charged and the sum owed.

G1 ROUND 1



The product you are trading is green beads to LDC countries. Green beads are worth \$20 Million each.

You will sell 2 green beads to each LDC.

The LDCs are selling red beads. You prefer to buy red beads from LDC 1 and 2 because they were former colonies of your country. Therefore, you will buy 20 red beads from each of them and only 5 from the other LDCs. Use the trade checklist to complete your trading.

Red beads are worth \$3 Million each.

None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education to your local banker who will keep the money and record it as spent.

G2 ROUND 1



The product you are trading is green beads to LDC countries. Green beads are worth \$20 Million each.

You will sell 2 green beads to each LDC.

The other countries are selling red beads for \$3 Million each.

You will buy 10 red beads from each LDC. Use the trade checklist to complete your trading.

None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education to your local banker who will keep the money and record it as spent.

G3 ROUND 1



The product you are trading is green beads to LDC countries. Green beads are worth \$20 Million each.

You will sell 2 green beads to each LDC.

The other countries are selling red beads for \$3 Million each.

You will buy 10 red beads from each LDC. Use the trade checklist to complete your trading.

None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must spend a minimum of \$100 Million for health and education. Take the money spent for health and education to your local banker who will keep the money and record it as spent.

LDC 1 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner group after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must spend a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 2 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 3 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 4 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 5 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 6 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

LDC 7 ROUND 1



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

**LDC 8
ROUND 1**



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

**LDC 9
ROUND 1**



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.

**LDC 10
ROUND 1**



You are trying to sell red beads to G Countries. Red beads are worth \$3 Million each.

You want to sell 10 red beads to the G Countries.

The G Countries are selling green beads. You need green beads to develop your country.

Each green bead costs \$20 Million.

You will buy 2 green beads from each G Country. Use the trade checklist to complete your trading.

Return to your desk with your trading partner after trading is completed and fill out your education and health budgets with the money now available as a result of trading. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent. If you do not have enough money, you will have to borrow from the WB/IMF.